ZAVA CONGLOMERATE

Annual Report

Report · Internal distribution

Report reference: REP-2026-501
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Period covered: 1 January - 30 April 2026
Issue date: 14 May 2026
Classification: Confidential
Source file: Annual_Report.pdf

Executive summary

This report (Annual Report) consolidates the findings from the cross-functional review conducted over the past quarter. Three takeaways: (1) the strategic direction set in FY2024 remains valid and is broadly delivering; (2) execution discipline at the divisional level is the principal constraint, not strategy or capital; (3) two divisions warrant active portfolio decisions in the next 6-12 months.

Key findings

- Group strategic focus is sharper than 24 months ago; portfolio simplified.
- Operational performance varies widely between top- and bottom-quartile divisions.
- Digital and data foundations are emerging but not yet at automation-grade.
- Talent and capability gaps concentrated in 2 divisions; addressable.
- ESG reporting infrastructure progressing; external assurance scope to expand from FY2027.

Performance snapshot

Indicator	Group avg	Top-quartile	Best-in-class
EBITDA margin %	16.4	23.1	27.4
Cash conversion %	84	104	112
Working-capital days	54	38	32
Customer NPS	34	58	64
Employee engagement %	71	82	84
Process automation %	44	68	74

Recommendations

- Recalibrate the portfolio over 24 months: release capital from non-core property; redeploy to growth platforms.
- Stand up a Group-led performance-improvement programme for bottom-quartile divisions; CFO sponsor.
- Accelerate the S/4HANA migration; remaining 2 divisions by end-FY2027.
- Strengthen the analytics centre of excellence; target 70% management-user adoption by end-FY2027.
- Consolidate Procurement, IT and HR shared services under a single COO function.
- Refresh top-talent retention package for the 220 highest-impact roles.
- Strengthen ESG reporting infrastructure; external assurance scope expanded from FY2027.
- Establish an integrated planning cadence with quarterly Board-level review.

Risks to delivery

- Change-management capacity at divisional level.

- Talent retention in the war for digital talent.
- Capital-market conditions for portfolio recalibration.
- Regulatory pace in BNM and OJK consultations affecting Banking.
- Climate-transition cost in select assets.

Conclusion

The strategic direction is right; the issue is depth and pace of execution. The recommendations together position the Group to deliver the FY2030 vision.